



Preparing for a Business Crisis

You cannot predict exactly which crises will arise in the future. But when you prepare careful plans and processes, your business will be better equipped to handle unexpected events if they occur.

Planning ahead

Major incidents such as fire, flood, and IT failure happen rarely but can have a devastating impact on any small business. Create a plan for how to deal with such crises to save you time, reduce stress, and enable you to cope more easily. You can predict some of the impacts of a crisis, for example, being unable to communicate with your customers, and dealing with a lack of stock or damage to your premises. If you prepare in advance for these scenarios, it will make your

business more resilient. You may also find that planning for one eventuality may prove useful in another unexpected crisis. Different kinds of crises can create similar constraints. For example, you might want to create a plan for people to work remotely and deliver customer services online in the event of a major flu epidemic. In the event of a natural disaster, such as flooding or an earthquake, which could limit people's ability to travel, your plan for an epidemic could still be put to good use.

Making your plan

Assemble crisis control plans with input from your colleagues and suppliers. Allocate responsibility for specific actions such as customer contact, or dealing with emergency services. Write down the plan and ensure everyone is aware of it and understands their role. If possible, test your plan with a mock crisis and review it regularly as situations change. Use the processes below to identify what should be in your plan.



Consider possible scenarios

Crises can be external, such as flood and fire, or internal, such as manufacturing a faulty product or causing food poisoning through insufficient hygiene practices. Consider what would happen if any of these events occurred.



Assess the likelihood

Some businesses will naturally be more prone to specific problems. Food poisoning is more likely in a restaurant, for example, and businesses sited near rivers are more likely to flood. Focus on planning for situations most likely to occur in your business.